

FREE GUIDE • OCTOBER 2026

YOUR TAX-FREE CASH

How the 25% tax-free lump sum works, when you can take it, the 2028 rule change, and the mistakes that quietly cost people thousands.

WHAT IS TAX-FREE CASH?

It is the part of your pension you can take without paying any income tax on it. For most people it is the single most valuable decision they make at retirement.

If you have a **personal pension, SIPP or workplace pension** where you build up a pot of money (often called a defined contribution pension), you can usually take **up to 25% of it tax-free**. The other 75% is taxed as income when you draw it, at your normal rate of income tax.

25%

of most pension pots can be taken tax-free

55

the earliest age most people can take it today

57

the earliest age from 6 April 2028

IS THERE A LIMIT?

Yes. The total tax-free cash you can take across all your pensions is capped by the **Lump Sum Allowance of £268,275** for most people (unless you hold an older form of protection). Below that, the 25% rule is what matters.

DOES IT APPLY TO EVERY PENSION?

No. **Final salary (defined benefit) pensions work differently**: any lump sum comes from swapping some of your guaranteed income, under the scheme's own rules. And the **state pension** cannot be taken as a lump sum at all. This guide is about pension pots you have built up yourself or through work.

In plain terms: on a £100,000 pension pot you could usually take up to £25,000 without paying a penny of tax on it. What you do with the other £75,000, and when, decides how much tax you pay overall.

4 WAYS TO TAKE IT

You do not have to take all your tax-free cash at once, and the way you take it changes how much tax you pay on the rest.

OPTION	HOW IT WORKS	WORTH KNOWING
All the tax-free cash up front	Take your full 25% as one lump sum. The rest stays invested for you to draw from later (often called drawdown).	Simple. The rest is taxed only when you take it out.
Bit by bit	Take smaller amounts when you need them. Each withdrawal is usually 25% tax-free and 75% taxed.	Spreads the tax out and keeps more of your pot invested for longer.
In stages	Unlock part of your pension at a time, taking the tax-free cash on just that part.	Keeps future tax-free cash in reserve for later years.
Alongside a guaranteed income	Take your tax-free cash, then use some or all of the rest to buy a guaranteed income for life (known as an annuity).	Income is paid however long you live. Rates differ a lot between providers.

The order matters. Many people combine options, for example taking some tax-free cash now, a guaranteed income to cover the bills, and leaving the rest invested. The right mix depends on your other income, your health and your plans.

A QUICK WORD ON "ANNUITIES"

An annuity is simply a guaranteed income for life, bought with your pension money. You hand over some or all of your pot and receive a fixed income every month, however long you live. You can still take your 25% tax-free cash first.

55 IS BECOMING 57

From 6 April 2028 the earliest age you can usually take money from a personal or workplace pension rises from 55 to 57.

55

earliest access age today

57

earliest access age from 6 April 2028

This is known as the **normal minimum pension age**. It rises to keep pace with the state pension age, which is itself due to increase. It does not affect when you receive your state pension.

WHO IT MATTERS MOST TO

BORN ON OR AFTER 6 APRIL 1973

You will not have reached 55 by 6 April 2028, so you will usually have to wait until 57 to take your tax-free cash or any income from your pension pots.

ALREADY 55 OR OVER BEFORE APRIL 2028

The rules around people who have already started taking money, or who hold a "protected pension age" in their scheme, can be different. Some schemes let members keep access at 55. It is worth checking your own scheme's rules.

PLANNING TO RETIRE IN YOUR MID-FIFTIES

If your plans relied on taking tax-free cash at 55, the timing may need a rethink: how you bridge the gap, and whether to act before the change.

5 MISTAKES THAT COST PEOPLE THOUSANDS

None of these are rare. Most come from taking money in a hurry, without looking at the whole picture.

1 CASHING IN THE WHOLE POT AT ONCE

Only 25% is tax-free. The other 75% is added to your income for that tax year, which can push you into a higher tax band and hand a large slice to the taxman.

2 TRIGGERING THE £10,000 LIMIT BY ACCIDENT

Once you take *taxable* money from a pension pot (not just the tax-free cash), the amount you can pay into pensions with tax relief can drop from £60,000 to £10,000 a year. A problem if you are still working and saving.

3 TAKING IT JUST TO LEAVE IT IN THE BANK

Money taken out of a pension and left in a low-interest account can lose value to inflation, and it is no longer sheltered from tax or, often, inheritance planning.

4 FORGETTING OLD PENSIONS

Pots from previous jobs often sit forgotten. Bringing everything into one view shows how much tax-free cash you really have.

5 ACCEPTING THE FIRST INCOME OFFER

If you want a guaranteed income, you can usually shop around. The difference between the best and worst offers for the same pot can be significant, especially if you have health conditions.

WHAT COULD IT PAY FOR?

The most common reasons people take their tax-free cash.

USE	WHY PEOPLE DO IT
Clearing the mortgage or debts	Lower monthly outgoings mean you need less taxable income in retirement.
Home improvements	The kitchen, the extension or the adaptations that make a home work for later life.
A new car	Buying outright rather than taking on finance.
Helping family	A deposit for a child or grandchild, or help with costs.
A cash buffer	Money set aside so you are not forced to sell investments at a bad time.

A WORKED EXAMPLE

Sandra, 61, has £120,000 across two old workplace pensions. She wants to clear a £25,000 mortgage and retire next year.

- Her tax-free cash is up to **£30,000** (25% of £120,000).
- Taking it as one lump sum clears the mortgage with no tax to pay.
- The remaining £90,000 can stay invested, be drawn bit by bit, or be partly used for a guaranteed income to cover her bills.

Had she cashed in the full £120,000 in one year instead, around £90,000 would have been taxed as income, much of it at the higher rate.

Illustrative example only. Figures are simplified and ignore other income, allowances and investment growth.

A SIMPLE CHECKLIST

- ✓ List every pension you have, including old workplace pots.
- ✓ Find out roughly how much each is worth, and add up your 25%.
- ✓ Check when you can access them, especially if you are close to 55.
- ✓ Decide what you want the money for, and when you actually need it.
- ✓ Work out the tax on any money you take beyond the tax-free part.
- ✓ If you want a guaranteed income, compare offers before you accept one.
- ✓ Get a second opinion before you take anything, not after.

WANT THIS LOOKED AT FOR YOUR SITUATION?

Your Retirement Insights can arrange a no-obligation conversation with an FCA-regulated pension adviser, who can look at your pensions, how much tax-free cash you could take and the most tax-efficient way to take it. Reply to the email that delivered this guide and we will take it from there.

IMPORTANT INFORMATION

This guide is general educational information only and does not constitute financial, tax or investment advice, or a personal recommendation. Pension and tax rules are complex, subject to change, and their effect depends on your individual circumstances. Figures quoted, including the Lump Sum Allowance, the money purchase annual allowance and the normal minimum pension age, reflect rules at the time of writing. You should not take, or refrain from taking, any action based solely on this guide. Before making decisions, seek advice from a suitably qualified, FCA-regulated financial adviser. Your Retirement Insights is a trading style operated by ADSorbed Ltd and introduces individuals to regulated advisers; it does not itself provide regulated financial advice.